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Avient Corporation · 55 turns · 12 participants

CAST (IN ORDER OF APPEARANCE)

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Operator

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Emily Fusco
Analyst, Deutsche Bank

Frank Mitch
Analyst, Fermium Research, LLC

Ganshan Punjabi
Analyst, Baird

Kristen Owen
Analyst, Oppenheimer & Co.

Michael Sison
Analyst, Wells Fargo

Mike Harrison
Analyst, Seaport Research Partners

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Analyst, Morgan Stanley

MICHELLE Operator

Good morning, ladies and gentlemen, and welcome to AVN Corporation's webcast to discuss the company's first quarter 2026 results. My name is Michelle, and I'll be your operator for today. At this time, all participants are in listen-only mode. We will have a question-and-answer session following the company's prepared remarks. As a reminder, this conference is being recorded for replay purposes. I would like to turn the call over to Joe DiSalvo, Vice President, Treasurer, and Investor Relations. Please proceed.

JOE DISALVO Vice President, Treasurer, and Investor Relations

Thank you, and good morning, everyone, to joining us on the call today. Before we begin, I'd like to remind you that statements made during this webcast may be considered forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. Forward-looking statements will give current expectations or forecasts of future events and are not guarantees of future performance. They're based on management's expectation and involve a number of business risks and uncertainties. any of which could cause actual results to differ materially from those expressed in or implied by the forward-looking statements. We encourage you to review our most recent reports, including our 10-K or any applicable amendments, for a complete discussion of these factors and other risks that may affect our future results. During the discussion today, the company will use both GAAP and non-GAAP financial measures. Please refer to the presentation posted on the investor relations section of the Avian website where the company describes the non-GAAP measures and provides a reconciliation for historical non-GAAP financial measures to their most directly comparable GAAP financial measures. A replay of this call will be available on our website. Information to access the replay is listed in today's press release, which is available at aviant.com in the investor relations section of the website. Joining me today is our Chairman, President, and Chief Executive Officer, Dr. Ashish Kanpur, and Senior Vice President and Chief Financial Officer, Jamie Beggs. I will now hand the call over to Ashish to begin.

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

Thank you, Joe, and good morning, everyone. Before I get into my business-related comments, I want to highlight the recent CFO leadership change we announced last week. Jamie Beggs has decided to leave Aviant, effective June 1, to pursue an opportunity outside of the company. I would like to extend my thanks to Jamie for her six years of contributions and service to Aviant and wish her the best in her new role. I am also very pleased to have Joe DiSalo take on the CFO role, who many of you know very well. I have had the chance to work closely with Joe for about two and a half years now and have established a strong and trusting relationship with him. Joe brings with him 25 years of financial experience, including nearly 15 years at Avian. He has established strong relationships within the company and with the investment community. His deep financial experience and consistent delivery of results make him well suited to lead our financial organization. I look forward to continuing to work closely with Joe to deliver value to all our stakeholders. Coming to the quarterly results now. In the first quarter, our teams delivered 83 cents of adjusted EPS modestly ahead of our expectations, demonstrating disciplined execution in a complex operating environment. Our focus on cash and debt reduction in 2025 also contributed favorably to our first quarter EPS growth. Sales were generally in line with expectations, and market demand was a continuation of Q4, especially in color additives and inks, the larger of our two business segments. Demand remains subdued in January and February, with a notable pickup in March as customers accelerated purchasing to mitigate potential supply disruptions and inflation pressures related to the conflict in the Middle East. Importantly, our continued focus on productivity and cost control more than offset wage inflation and incentive resets, expanding adjusted EBITDA margins by 20 basis points. One of the highlights of Q1 was that we started seeing some strength in our biggest end market of packaging, which contributes about 23% of our company revenues. Packaging finished up low single digits against strong comparisons of around 7% growth that we experienced in Q1 2025. We will talk more about packaging later in this presentation when we discuss our end markets in further detail. Geopolitical events in the Middle East have increased volatility in market conditions and customer purchasing behavior as customers work to secure supply and manage inflation. I have personally visited many of our customers in Asia and EMEA where the immediate supply chain disruptions are most pronounced. I can confidently say that our teams are doing an outstanding job to manage the situation proactively and are staying focused on and close to our customers. We are leveraging our global supply chain and material science capabilities to secure raw materials, qualify alternatives where we can, and have been implementing price actions where needed to offset inflation. This approach is consistent with our proven playbook, which enabled us to remain net price positive during the post-pandemic disruptions of 2021, 2022, and again during the tariff-driven volatility in 2025. In fact, We remain net price positive in each and every quarter during these volatile and uncertain periods and expect the same to be the case this year as we confront another extended period of elevated uncertainty. For the second quarter, we have secured supply for the vast majority of our raw materials. While availability remains constrained for select items, our teams are actively working with suppliers and seeking alternatives to minimize any impact which we expect to be immaterial for Q2. We also expect organic sales growth in both business segments and margin expansion for the total company in second quarter, while we continue to invest in the growth vectors in alignment with our strategy. Overall, our teams are well prepared to handle the changing business conditions with agility and staying focused on customers. Execution over the last nine quarters has been exceptional, And I believe our people are our competitive advantage in these turbulent times. While first half performance is tracking modestly ahead of our expectations, uncertainty around the second half remains elevated. As a result, we are currently not changing our full year guidance. We are prepared for a range of outcomes and are making decisions to proactively manage the business with what we can influence. Accordingly, We will continue to execute our productivity initiatives, as well as control spending and headcount, adjusting on an ongoing basis as the business conditions warrant. Turning to our end market trends. Packaging, our largest end market, continues to demonstrate resilience supported by new share gains, especially in food and beverage applications, and also by new product innovations. This includes brand new growth driven by non-PFAS polymer processing aids used in personal health and beauty applications, and low outgassing and anti-static materials used in films and tapes for electronics packaging applications. As a result, we expect mid to high single digit growth in packaging in the second quarter, led by EMEA, our largest packaging market, where we also have favorable comparisons versus the second quarter of 2025. Consumer sales declined in the first quarter. In the second quarter, we expect a return to low single-digit growth, primarily driven by favorable comparisons following the demand slowdown that began in the second quarter of 2025. Healthcare growth was low single-digit in the first quarter, reflecting tough double-digit growth comparisons from Q1 2025 and also some customer inventory rebalancing in the drug delivery space. Importantly, this market has delivered consistent growth over the past nine quarters with double-digit growth in each of the two years, 2024 and 2025. As we lap strong growth in the first half of 2025, we expect second quarter growth to be similar to the first quarter. Defense sales were flat in the first quarter caused by lumpiness and timing of orders delivery in this business. For Q2, we expect defense sales to grow sequentially over Q1 and also year over year versus a very strong Q2 2025 where defense had grown almost 20%. We see continued demand momentum in this business with healthy project pipelines and deep customer engagements in the United States and Europe. Building and construction was another bright spot where sales grew each of the three months of the first quarter and finished up mid single digits. The growth in the quarter was primarily driven by share gains in the commercial and data center infrastructure build applications. We expect the trend to continue in the second quarter. Demand in industrial transportation and energy market continues to be slow, with sales declining mid-single digits or so in each of these end markets in Q1. This trend is expected to continue into Q2, but with magnitude of decline being more modest. We have been highlighting our innovations in these calls on a fairly regular basis now to provide a flavor of how our strategic pillar of innovation is taking shape in the company and building momentum for sales growth and margin expansion. Even as we manage market volatility and deliver on our business performance each quarter, our strategy of prioritizing growth vectors tied to secular trends continues to create opportunities for innovation and new business creation at scale. Today, I will highlight how our teams are solving problems in the electronics and high performance computing space, which is one of our prioritized growth factors. As AI and high performance computing applications grow and pervade several industries, the demand for advanced semiconductors and efficient data centers continues to increase. We are supporting the AI and high performance computing infrastructure build out across three critical areas, bringing our technologies to industry leaders in this space. First, Avian's unique material solutions offer excellent microenvironment control in semiconductor fabs and are used in vapor handling applications such as front opening universal pods and carrier tapes for transporting bare dye and packaged chips. Our materials are designed to specifications of our customers while meeting stringent requirements of outgassing, electrostatic dissipation, and ultra clean processing. Second, in data center servers, increased demand in processing power requires connectors and other components to operate at higher temperatures and be packed into a smaller footprint, a challenge that is hard to address with traditional polymers. Our custom-designed solutions for advanced connectors and optical fiber components offer very high signal fidelity in order to maximize data throughput in AI server interconnects. Third, every data center needs thousands of miles of cabling, both for managing signal and power. With increasing power and density requirements, operators require cable solutions to be compact, quickly dissipate heat in high-density racks for safe operation, and meet stringent fire codes. Our materials offer thin-walled insulation that meet and exceed these needs as well as enable high-speed manufacturing of cables. Our electronics and high-performance computing solutions have been growing rapidly over the last couple of years, and we expect this momentum to continue in 2026 and beyond. This growth vector is expected to finish greater than $40 million in sales this year, adding about $10 million in sales just in 2026 itself, and doubling in sales in the last three years. Our teams continue to build and work on expanding the pipeline of projects and customers in this space. I will now hand the call over to Jamie to add some additional color on our first quarter results and 2026 financial guidance.

JAMIE BEGGS Senior Vice President and Chief Financial Officer

Thank you, Ashish, and good morning, everyone. I'll start with the first quarter performance of our color, additives, and ink segment. Continued strength in healthcare and stable packaging demand was more than offset by subdued demand in consumer, transportation, and industrial end markets, which led to a 3% decline in organic sales during the quarter. EBITDA margins improved 40 basis points as pricing and productivity initiatives more than offset the impact of wage inflation and lower organic sales. Specialty engineered materials organic sales were flat as shares gains in commercial building and construction applications primarily offset lower sales in consumer, transportation, and industrial end markets. Healthcare was impacted by inventory rebalancing related to supply chain movements as well as lapping strong double digit growth in Q1 of the prior year. Defense sales were flat due to timing of customer orders and following several quarters of high single digit to low double digit growth. EBITDA margins declined 40 basis points, primarily due to unfavorable mix in the quarter, while productivity initiatives offset the impact of wage inflation. Both businesses demonstrated strong execution to deliver the first quarter results while proactively addressing anticipated changes in raw material cost, supply availability, and pricing. Moving to the regions, overall demand trends were generally consistent with the year-over-year fourth quarter comparisons with a few distinct call-outs. U.S. Canada sales benefited from positive growth in building and construction share gains, as well as stable demand in consumer and packaging end markets. This was more than offset by timing of defense orders, primarily associated with the delay of spending from recent government shutdowns and slow transportation demand related to domestic automotive production. Overall sales declined 3% for the region during the quarter. EMEA organic sales were down 2% year-over-year, primarily due to consumer, industrial, and transportation sales. Transportation was impacted by lower light vehicle production and demand for high-performance fibers used in marine applications. These declines more than offset strong growth in defense sales and momentum in the healthcare for the region. Asia grew 2%, driven by strength in packaging and telecommunications. In addition, secular growth in electronics and high-performance computing, as well as functional additives, continues to unlock new opportunities for our materials portfolio. This has helped offset weak consumer demand, particularly in textile applications. Latin America sales declined 6%, lapping 17% growth in the first quarter last year. Business in the region primarily serves consumer and packaging in markets where consumers remain cautious amid macro uncertainty. As Ashish mentioned, our current performance expectations for the first half of the year are trending slightly better than expected. With that said, the outlook for the second half is less certain. Therefore, we are maintaining our full year guidance of adjusted EBITDA of $555 million to $585 million, which reflects 2% to 7% growth over the prior year. Adjusted EPS of $2.93 to $3.17, which reflects 4% to 12% growth over the prior year. This range includes our second quarter adjusted EPS outlook of $0.89. Despite expected supply chain constraints and inflationary pressures in the second quarter, our teams have repeatedly demonstrated the ability to navigate volatility through disciplined execution. By staying closely aligned with customers, actively managing raw material sourcing and pricing, and maintaining a strong focus on productivity, we remain well positioned to offset inflation and grow earnings in 2026. We also expect to generate more than $200 million of free cash flow this year, strengthening an already solid balance sheet and increasing our financial flexibility. I'll now turn it back over to Ashish for some concluding comments.

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

Thank you, Jamie. Before opening it up for questions, I would like to acknowledge the hard work done by the Avian team during the quarter and thank our people for their disciplined execution and strong focus on serving our customers with passion and agility. I'm extremely proud and fortunate to be part of such a great team. With that, We will now open the line for Q&A.

MICHELLE Operator

Thank you. If you'd like to ask a question, please press Star 1-1. If your question has been answered and you'd like to remove yourself from the queue, please press Star 1-1 again. Our first question comes from Frank Mitch with Fermium Research, LLC. Your line is open.

FRANK MITCH Analyst, Fermium Research, LLC

Thank you so much, and let me offer a double congrats to both Jamie and Joe. Aziz and I obviously wish you the best, and obviously we'll be staying in close touch. Ashish, I wanted to delve into the ROAS versus price a little bit more and appreciate your comments with respect to net positive price in each quarter as we progress through the year. What are you actually seeing in terms of, raw material inflation. I understand that 2Q is somewhat muted because you've already got it in stock. But if you could give us some more color as to what you're seeing on the raw side and what your expectations are on the price side. Thank you.

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

Yeah. So, Frank, basically, if you look at our raw materials and put them in two different buckets, one is hydrocarbons. That's where we are seeing most of our price increases. Overall ranges vary from 20% to 60%, with TPE is more in the 20% to 30% range, and polyethylene, polypropylene is in the 20% to 60% range, depending on the region you are in. So that's on the hydrocarbon side. And the second bucket is basically our specialty materials and minerals, like performance additives and things like TiO_2, for example. The increase is more in the high single-digit kind of a range. Basically, that's where we are seeing the price year-over-year increases. Then on energy, we are hedged for 2026 more or less, so it's a small component. Anyway, it's on less than 2% of our company sales, so not much impact in 2026. But even in 2027, since it's a small number, it will not matter a whole lot. we can take care of that through our price increases if needed. And then the other part is freight, where we are seeing almost close to 20% kind of increases. So that's what we are seeing from an inflation perspective. And then obviously, as I said, our teams have moved pretty aggressively in Q1 itself. Giving price increases is not our preferred way of doing things. We first try to see if we can work with our customers and secure RMs from other places or qualify new materials. But if that doesn't work, then we have to move with the price increases. And the teams have moved fast. And as I mentioned in my commentary, we expect every quarter to be net price benefit based on how we have moved. So we try to stay ahead of inflation. So overall, I think for total, at a company level, if you think about for raw materials, we expect price to be in the mid-single digits averaged over our entire raw material basket. So that gives you some flavor of what we're looking at.

FRANK MITCH Analyst, Fermium Research, LLC

Terrific. That's very helpful. And Jamie, one last one for all time's sake. Obviously, you indicated a positive free cash flow for 2026. Working capital was a significant use here in the first quarter. How do you think about working capital as we progress through the year?

JAMIE BEGGS Senior Vice President and Chief Financial Officer

Yeah, from an overall perspective, we typically range between 13% and 14% as a working capital as a percentage of sales. And so as you do your modeling, that's what I would assume from an organic perspective. Q1 typically is a pretty big draw. That's just normal seasonality based on sales increases from a sequential basis Q4 to Q1. So no significant changes in our normal full-year run rate on that, just Q1 more seasonal. Yeah, seasonal.

FRANK MITCH Analyst, Fermium Research, LLC

Thank you so much.

MICHELLE Operator

Thank you. Our next question comes from Michael Sison with Wells Fargo. Your line is open.

MICHAEL SISON Analyst, Wells Fargo

Hey, good morning, guys. Good start to the year, and congrats to Jamie and Joe as well. I guess the first question, in terms of the positive organic sales growth you see in 2Q, how much of that is coming from volume? And it feels like volumes were down in the first quarter. you talked about a lot of end markets doing pretty well here in terms of share gains and stuff. So just kind of want to get a feel for that as we head into Q2 and the second half.

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

Yeah, Mike, volumes were down about 2% in Q1, you know, and I think we expect similar kind of range for Q2 as well. Most of the organic growth will be driven by price in Q2. So, but overall for the, you know, Overall for the quarter, we will see basically a positive organic broker currency growth for the first half, I mean, and obviously for second quarter, as we mentioned in our commentary. Second half, of course, we are expecting much higher volume growth. As well, and that's largely because of the comp effect, you know that last year second half was down 2% versus first off which was up 1% or so so we have some comp tailwinds in the second half, but also we are seeing some markets getting real positive demand as I highlighted packaging specifically and and parts of consumer also coming back in certain areas of the world so there is some uncertainty in second half, but overall we feel like some of our markets are getting back in traction and our teams are winning share. And also are some of our new product innovation is kicking in, which is going to help us second half of the year as well.

MICHAEL SISON Analyst, Wells Fargo

Got it. And then, you know, in, in, in the prior set of inflation, um, maybe a little bit prior before your time during winter storm, URI avian was able to sort of stay ahead of raw materials inflation as well. why do you think that's the case then maybe Jamie has been more perspective on that but then going forward you know most folks feel it's difficult to do that so what is it what is it within the organization of the business that allows you to be able to do that particularly in this time of pretty pretty steep inflation maybe I can take a quick you know stab at it and then if Jimmy wants to add based on the history of

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

I think the point is that what we try to do is differentiate ourselves from commodity resin manufacturers and chemical players. And that is where we differentiate with respect to taking pricing and staying ahead so the customers are willing to pay for the service we provide, the speed with which we work with them to qualify new materials and solve their problems. as well as our business model of serving them across the globe, but with a very local service and local touch model. I think all those things work in our benefit. And so we see that pricing for us is more value-driven because we create value for the customer and not just commodity pricing-driven. I think that's my answer, but maybe Jamie can add it.

JAMIE BEGGS Senior Vice President and Chief Financial Officer

No, I think that's excellent. And the other piece of it is less than 5% of our agreements are indexed. So we have the ability on a PO by PO basis to actually manage pricing as needed. And so that also allows us to be ahead of the game. And that's what we've seen back in 21 and 22. we're always able to stay ahead of that raw material inflation, despite that also being a very volatile increase pretty fast. So the team's been doing a great job executing that very familiar playbook. I think in Q2, like Ashish mentioned, you'll see some positive price there, hopefully to stay ahead of where we're at with the inflation.

MICHAEL SISON Analyst, Wells Fargo

Great. Thank you.

MICHELLE Operator

> Thank you. Our next question comes from Ganshan Punjabi with Baird. Your line is open.

GANSHAN PUNJABI Analyst, Baird

Yeah. Hi, guys. Good morning. First off, congrats to Jamie and Joe as well. Wish you both the very best in your new roles from our team. I guess going back to the, you know, the volume assumptions for 2026, you know, you give us a view on the first half. You know, there's a lot of distortions as it relates to pre-buying, et cetera, Comparisons from a year ago, etc. So how are you thinking about the full year from a volumetric standpoint? I know you seem very confident on pricing, but is there any element of?

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

> Macro economic deterioration that you're factoring in as it relates to your guidance Yeah, I'm so from a totally your perspective, you know, you know when we started the year of course we had price mix as you know close to neutral and or maybe slightly positive and then mostly growth driven by volume. And I think that story has flipped now based on what has happened recently. And so we are expecting slightly positive volume for the total year and more low single digit kind of increase driven by price and mix. So I think that's our midpoint assumption in our guidance on the sales. So overall, still positive volume for the year, but maybe less than 1% and price mixed low single digits for total organic sales to be in that low single digits to mid single digits range.

GANSHAN PUNJABI Analyst, Baird

Okay, thank you for that. And then in terms of the comments on packaging, and it sounds like you're a little bit more optimistic as it relates to the trend line, especially 2Q onwards, as you highlighted, do you actually sense any sort of underlying improvement in that end market, or is it just a function of your net wins and so on and so forth that's driving that optimism. Thank you.

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

> Yeah, as I tried to highlight in the end market dynamics, packaging is part of it is we are seeing some, you know, demand coming back. You know, Europe especially, we know we are getting some demand back, which is our biggest market. Also, U.S. has been pretty resilient, you know, in Q4 and then now again in Q1. So packaging was up for us in Asia plus 8% and US plus 1% or so this quarter. And Europe is turning around. We could see it turn around. So I think overall packaging is looking quite good. But apart from the demand part, we are also seeing our teams really going and getting share and We highlighted some of that, and especially in Asia, we are winning share with local beverage makers. There's a big trend around sugar-free tea and other beverages that is taking place in China with respect to healthy eating habits. And our teams are beginning to grab a lot of share in that market, both from a color perspective, but also cap liners and things from the SEM model. So we are gaining share in those kinds of things. And then new product innovation. We talked about non-PFAS polymer processing ads used in health and beauty applications. And that is also something that is creating brand new growth. So, you know, apart from the market demand, we are gaining share. There's a share gain perspective. There is a perspective from new products. And then on top of that, pricing is going in. So most of the sources of growth vectors are kicking in in packaging at the same time. And obviously, we haven't done much M&A, so that's not a growth vector for us right now. But you get my point that we are kicking packaging on all those different fronts.

GANSHAN PUNJABI Analyst, Baird

Okay, fantastic. Thank you, Ashish.

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

Sure.

MICHELLE Operator

Thank you. Our next question comes from Lawrence Alexander with Jefferies. Your line is open.

DAN REZON Analyst, Jefferies

Hey guys, it's Dan Rezon for Lawrence. Just to get back for the pricing thing for a second, two things. One, what do you raise prices in because of the value add and because of your differentiated products? Do you generally keep the prices or is there sometimes concessions when things like this end?

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

So generally we have shown that we can, if you go back to 2021, 2022 time, we were able to stay ahead of the inflation curve by giving prices much faster and then keeping the price higher when the RM inflation comes down. And I think our teams have proven on both sides of that that they can manage that part pretty well. Obviously there are things case by case, and with customers and regions which are very specific. So if you look at what happened in March when the war started, you know, especially in Europe, for example, the price disruption was very high and things were changing daily, on a daily basis. And in those cases, we had to pass on certain surcharges to our customers, and then we reconciled with some of those customers as things become more clear and things stabilized. So most of the times its price increases, but in things when it was moving so fast, we didn't want to be behind the inflation curve, so we agreed with our customers to pass on the surcharges and come back to it later in case the prices didn't stick. And that's again a very specific case of when the volatility is very high, we don't have enough time to collect data on the price impact and you have to move. Overall, I would say our teams do a pretty good job of staying with the price and keeping it longer.

DAN REZON Analyst, Jefferies

Thanks. That's helpful. And then just one follow-up on that. Back in 2021, 22, and just other surges in pricing, did you lose any volume because you rose prices? Did people, I don't know, just trade down to less differentiated products? Is that a phenomenon that happens from time to time?

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

I don't have the history there, but obviously part of the things that the team has been doing is to improve profitability and do portfolio as part of our strategy. And so we are not afraid to price more aggressively in cases where it doesn't make, you know, the portfolio is very commoditized and doesn't make sense for us to serve in cases. So it's part of our portfolio decisions and those volumes we can forego without any It's a no regrets decision for us. But typically, as I said earlier, because of the value that we create for our customers, it is not an issue for us and the customers are happy to work with us. This is not a one-time thing. Our customers know that this is another one of those cases where times are tough and if you stick with them, you work with them, solve their problems, they trust you. And then even if they have to pay you a little bit extra price because they know that next time there is a crisis, we'll be still there to help them out. And this is a trust that we have built with our customers over the years, and that's an important part. That is not just a mathematical equation.

DAN REZON Analyst, Jefferies

Thank you very much.

MICHELLE Operator

> Thank you. Our next question comes from David Begleiter with Deutsche Bank. Your line is open.

EMILY FUSCO Analyst, Deutsche Bank

Good morning. This is Emily Fusco on for Dave Begleiter, and congrats to both Jamie and Joe. Just curious back onto raising prices. At what point does this inflation flow through to the consumer and maybe start to impact demand? Are you seeing anything there or anything towards the back half? Thank you.

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

> It's a really interesting question. Pretty much all economists are probably working on that part. I'm going to be very speculative. I think that prices are probably flowing through the consumer. Yesterday, Whirlpool announced their earnings, and you saw that the consumer is hurting right now and staying away from big-ticket items like appliances. So inflation is really hitting on bigger-ticket items. We hear a lot about gas prices as well, a similar story. So at some point, if this thing doesn't get resolved, of course it's going to flow through. It's already flowing through in my mind. And so I think second half is where, if you ask us from our business perspective, the two biggest question marks in my mind are the consumer business and the industrial business. And both of them are dependent on oil prices, but also the general inflation that is happening. And that's the variability really in our range. the low end of the range or our midpoint of the range or the high end depends on those two businesses, the consumer and industrial. And that's the reason, you know, your question is an excellent one, Emily. Only time will tell how much consumer hurts over time because of this inflationary thing.

SPK08

Thank you.

MICHELLE Operator

> Our next question comes from Mike Harrison with Seaport Research Partners. Your line is open.

MIKE HARRISON Analyst, Seaport Research Partners

Hi, good morning, and let me add my congratulations to Joe and Jamie. Ashish, we appreciate the slide that you provided that shows a little more color on your exposure in electronics and high-performance computing. It seems like you're kind of in the early stages of tapping into that and just hoping that you could give us some more detail on how you see your competitive advantage and how you win in that space. And as you look out over the next two to three years, what do you think the biggest product lines or applications are going to be just based on where they are today and where the growth rates are trending?

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

> Yeah, so, Mike, you're right. It's a new focus area, a newer focus area for us, as you said. The teams were playing and dabbling in that area a couple of years ago or before that. But it was not a concentrated focus with respect to secular trends and going after that. And, you know, it's an area obviously that has been moving very fast and digital in general is something that is continuing to become more and more part of our life. And so we focused really on that area. We put a specific team around that. And then, you know, we want to tap into this whole digital thing across the value chain. So all the way from semiconductor manufacturing to packaging of chips to making servers to getting into the data center and in between electrification too, which is part of our advanced composites program for electrification. So we have actually thought it through and we are playing across the value chain through our different growth vectors. And they all kind of come together and address this whole thing. With respect to competitive advantage, I

would say that, you know, in electronics world, speed and solving the customer problem are your fastest advantage versus technology necessarily. And I used to run the electronics business at 3M and we also brought Dave Schneider, you know, who used to run in his previous role electronics business for the same reason because he wanted to go deeper in this area and build this business faster. And so, you know, we are not married to any particular materials. We don't make materials in that space. But we can choose from any material that is available and design an appropriate solution for our customers with high speed. And that is our competitive advantage, if you ask me. We have been filing more and more patents, as I have highlighted before. So as we develop more expertise and depth in that area, we will become more, you know, differentiated as well. Part of it is to just finding out, getting deeper into the area, start intersecting the roadmaps of our customers' products and understanding what is required to win there is where in this initial phases where we have spent our time. And you can see the business growth has come pretty well. I think I answered pretty much all your questions. What other areas? I think if you think about it, you know, wafer packaging, wafer transportation, carrier tapes for chip packaging, high-speed connectors for interconnect on board backplane in servers, as well as, if you look fast forward, that electromagnetic shielding materials, power housing, flame retardants, all those parts of the portfolio can still go in there, as well as wire and cable business, which is our traditional core business, that, as we highlighted, has an opportunity to grow here because The data center capacity is expected to triple in the next five years or so. So I think there's a lot of opportunity here for our teams. I think that what we wanted to highlight today was that, A, we have started thinking about these markets at scale, and we are not product. We are not thinking things from a product perspective, but we are seeing where the markets are going and how can we become a bigger part of the market as a full aviant, and also create $30, $40, $50 million of opportunities in this space. And this is not the only one, by the way. If you look at what we have been doing in defense, we have added $60 million over the last two years. In healthcare, we have added $40 million over the last two years. So this is not new. It's just that we have been talking about it, but it's beginning to come together, and now I've become more comfortable to put it in a summary form for you guys.

MIKE HARRISON Analyst, Seaport Research Partners

No, that's very helpful. And then just in terms of the productivity improvements, and the cost discipline, it was good to see margin up even though your volumes were down a little bit, and you mentioned that incentive comp is also higher. Can you just talk a little bit about where you see costs and productivity going from here? I think specifically on SG&A, maybe give us a sense of how much higher SG&A costs could end up this year. And I understand you're trying to manage it, but how much flexibility do you feel like you have in terms of the cost front? Thank you.

JAMIE BEGGS Senior Vice President and Chief Financial Officer

So there's maybe, Mike, just as a reminder, we do have around $20 million of productivity that's carried over from the prior year, which definitely helped within the quarter. But we're always looking at productivity. It's a muscle that Avian has. And as we look forward, And depending on where the environment, the macro grows, we do have some additional levers to potentially look at further cost reductions. As a reminder, we kind of think about cost reductions in four primary buckets. One, we always are looking at our sourcing capabilities and ability to combine raw materials and so on. Another area would be our footprint optimization. We're always taking a look at how do we best serve our customers and what footprint we need to be able to do that. We also have really nice manufacturing programs with productivity and LSF-type programs. And then lastly, and which has been an important piece, is the SG&A factors that you're sort of bringing up here. We have done a lot of streamlining over the past two years with Ashish's onboarding with taking structure out. And that primarily is to serve our customer more seamlessly across the board. And we'll always have the ability to take a look harder at that as we progress through 2026. So I would expect that productivity will still become a major factor in terms of how we manage our profitability going forward. One, because it's a muscle, and two, I do think there's some other opportunities. But with that, Joe or Ashish, anything else?

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

Yeah, I mean, I think this whole area of digital opens up a lot of capability for us to take out more cost and more structure out of the company. Obviously, that's something that we have been doing in the last two years and will continue to do, as Jamie mentioned. I think last year we drove $40 million of productivity. This year, there was some carryover from that. In addition to that, we will drive enough to offset wage inflation, which is close to $30 million. We also have a plan B in case we need to pull the trigger and things get a little worse on the market side. then we move to plan B and drive even more productivity.

MIKE HARRISON Analyst, Seaport Research Partners

All right, thanks very much.

MICHELLE Operator

Thank you. Our next question comes from Vincent Andrews with Morgan Stanley. Your line is open.

TURNER Analyst, Morgan Stanley

Hey, congrats to Joe and Jamie. This is Turner on for Vincent. So it would be great to... get more color on the packaging end market. Can you break down the drivers of the mid-single-digit to high single-digit growth expectations you mentioned for the second quarter between volume and price, and perhaps speak to some of the underlying growth of the market or what you're seeing from share gains?

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

Yeah, I mean, I can take a stab at it. I'm I will not break it down for volume on this thing, but I can tell you that it's both volume and price driven, as I mentioned in a previous question. So we are seeing market demand, which is creating the volume. Packaging has been a robust market for us. Even last year, it grew 1%. And I think if you look at it in Q1, it grew over very strong comps of 7% versus last year, quarter one, 2025. So I think it has been a very resilient and robust market for us. And where we are seeing, we are seeing in Europe for sure demand come back. U.S., we have one share, especially in caps and closure part of the business. And in Europe, we are, you know, there is the beverage season is coming back. We are winning share there as well. And then I mentioned Asia earlier with respect to our team's winning share with the food trend that is going on there with respect to healthy eating, and we are winning the share there. There is also a PCR post-consumer recycling program that is in Asia taking a big momentum, especially in health and beauty space, and that's another part that we have been winning significant amount of share. So apart from market demand, which we are seeing pick up because of seasonality, but also otherwise, you know, robust markets like U.S., you know, there is also, by the way, there is a little bit of tailwind we are getting with this FIFA World Cup where the promotions are going on and there is promotions being done in Asia as well as in Latin America. that we are seeing promotional activity that is in the packaging space that we are part of. So I think all those things are creating volume for us, but also I mentioned share gains as well as pricing that we have been giving because of the inflation that we are seeing. So I hope that helps you put a picture together. Packaging is pretty robust for us. We try to highlight that in our prepared comments. It's getting, so that's where it gives us confidence of mid-single digits to high-single digits. Also, the comms in Q2 are, packaging was flat last year for us in Q2, and so I think the comms are more benign versus Q1, so that will help as well.

TURNER Analyst, Morgan Stanley

Absolutely, appreciate the thoughts there. Do you mind providing also more color around the low single-digit price mix assumption that you mentioned for the year? I'm wondering any thoughts about, you know, the cadence, if it ramps up as we go through the year, and likewise, how it trends relative to what you expect from raw materials.

JOE DISALVO Vice President, Treasurer, and Investor Relations

> Hey, Jenner. This is Joe. Yeah, I think that's going to ramp with how the underlying input costs ramp up. So, we started raising prices with the underlying costs going up in raw materials and in April and we'll see how the year plays out, but you'll see it ramp up over the next few months and depending how the back half plays with underlying costs and our price mix would follow. So that's probably how you should think about it.

TURNER Analyst, Morgan Stanley

All right. Thank you.

MICHELLE Operator

> Thank you. And our last question comes from Kristen Owen with Oppenheimer and Company. Your line is open.

KRISTEN OWEN Analyst, Oppenheimer & Co.

Good morning. Let me be the last to express my congratulations then to Jamie and Joe. Jamie in particular, appreciate the last six years, the help he's provided. So then just wanted to ask here about some of the comments about maybe some pull through that you started to see in March. It sounds like you actually have some pretty good visibility here into Q2. How much of that down to organic volume assumption Are you baking in anything for pull forward on demand or any sort of stocking just to ensure that customers have that availability?

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

> So, Kristen, I mean, Q1, in March, probably we saw less than $5 million of pull in because of, you know, customer trying to secure their supply chains. You know, we mentioned defense orders moved out, and that was about the same amount for us, more or less. So that kind of was a wash from an in-and-out perspective. Overall, I think Q2, we will see probably more impact of price increases and pre-buy-ins. I think that is going to be more pronounced in Q2. You know, we are monitoring very closely our customer order patterns to make sure that... you know, try to answer what you just asked. You know, how much is it true demand versus, you know, buying with just to procure and keep the materials. And so I think at this point in time, there is going to, it's hard to call out that how much of it is going to impact Q3. But there is going to be some amount at least. And that's why if you look at our guidance, we are not raising our range although we are slightly better in first half because of that reason. We don't know how much of that is, and so we have put that in our model and modeled Q3 and Q4 to be a little bit more, you know, we gave it a haircut based on that we might be pulling in some into Q2.

KRISTEN OWEN Analyst, Oppenheimer & Co.

Okay, great. Thank you. And even in the last question, you responded to some of the share gains that you're seeing in packaging. But just if we broaden that out, can you build on where you're seeing share gains? How much of that is some of the innovation coming through in terms of new business wins? And how much of that is just you guys have proven that you're a reliable, scaled global supplier and maybe that's helping you gain some share over, Maybe some of the mom and pops are more local suppliers.

DR. ASHISH KANPUR Chairman, President, and Chief Executive Officer

> Yeah. Consumer, the market demand is questionable. I think Q2 is much better because of the comps. Consumer was down 8% last year. So consumer is probably whatever gains we are going to see are going to be because of

comps and as well as some of the share gains there. In packaging, I already went into a lot of details. I won't repeat that. Defense, another big market for us. A lot of innovation going on there, and we are differentiated. The third-generation fiber, as we understand currently, is the best in class that is out there, and so we believe that's all innovation and share gains because of innovation. Healthcare, we have been winning A lot over the last two years, as I mentioned, we created $40 million of net new growth in healthcare. A lot of customer innovation, working closely with key accounts, but also taking share from the market because of our innovation. And then the last one I would just say is building and construction. is another area where we have taken a lot of shares, especially in Q1 itself in the United States. You know, we've talked about, especially in our wire and cable business, we have shown the ability to win share in that market because of our, you know, right price value proposition as well as some innovation that is coming out of the pipeline.

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Thank you very much.

MICHELLE Operator

Thank you. This concludes the question and answer session, and you may now disconnect. Everyone, have a great day.